A MIXED BAG

THE VARIOUS SECTORS THAT BENEFIT OR SUFFER ON ACCOUNT OF THE RUPEE'S DECLINE

GAINERS
(Export-oriented sectors)



PHARMACEUTICALS: Companies with exposure to US will gain and a third of our exports are to US markets. Exports grew 103% since 2013-14 to reach Rs 1.83 lakh crore last fiscal. But materials worth $4-5 bn were also imported. Companies focused on domestic markets and active pharma ingredient players will face escalating costs



IT SERVICES: Most companies bill their clients in USD. And the US market contributes 50-60% per cent to revenues for major companies. A 100 bps fall in rupee leads to a 30-bps operating margins benefit



TEXTILES: Indian exporters get cost advantage to compete with countries like Bangladesh. Most raw material is domestically sourced. A 1% fall in the rupee increases profit by 0.25-0.5%. India also imports textiles and clothing from countries like China, Indonesia, Bangladesh



STEEL: India exports 10-15% of its steel. A weak rupee evens the impact of the 15% export levy the govt announced in May

LOSERS
(Industries with high import components)



AUTO: With 10-20% components imported, cars could become expensive. The impact would depend on exports and the export markets of the company.



TELECOM: Being a major importer of parts, estimates suggest a weaker rupee could push the capex bill by 5% this fiscal, forcing telcos to raise tariffs



CONSUMER ELECTRONICS: Imported inputs make up nearly 40-60% of total costs. According to consumer electronics and appliances manufacturers, consumer durables could see a 3-5% price hike



SOLAR POWER: Indian solar plants import solar cells and modules. Every one rupee fall vs the dollar leads to a 2 paisa/ unit rise in tariff



FMCG: Raw material imports make up nearly half of input costs. Companies could pass these on as margins come under pressure



OIL AND GAS: With India importing nearly 80% of its oil and half of its gas, costs have risen for crude importers, which may be passed on to consumers or absorbed by the government, affecting its revenues. High fuel prices also stoke inflation

ery time the rupee depreciates, the advantage is very "short-lived and temporary—future buyers factor in the rupee value when negotiating prices. Plus, competing currencies too are depreciating". The pharmaceutical sector has similar problems. Any benefit from a weak rupee will be negated by the high cost of imported active pharma ingredients. Some segments source nearly 60 per cent of their inputs from abroad.

IS IT ALL DOWNHILL FROM HERE?

The worst may have come to pass, but there is a silver lining too—the rupee has fared better than currencies in other emerging markets, be it the Turkish lira, the Thai baht or even the Japanese yen. The lira has lost 22.34 per cent of its value since December 2021, the yen 16.95 per cent, and the baht about 8.75 per cent. However, Nilesh Shah, managing director of Kotak Mahindra AMC, cautions, "We have always followed that a weak currency supports exports. But our inflation is higher than that of our trade partners and productivity lower. It is a misconception that a weak rupee will support exports, that unless I depreciate, I won't remain competitive. There is a fallacy in Indian policymaking." Former finance secretary Subhash Chandra Garg concurs: "Ninety per cent of trade is invoiced in dollars, even though the euro and yen have been internationalised. We need real reforms on the government policy side."

In addition to using forex reserves to shore up the rupee, the RBI has taken other measures, including attracting overseas capital. Banks have been given room to offer higher interest rates on Foreign Currency Non-Resident Bank (FCNR-B) and Non-Resident External Rupee deposits—the SBI and ICICI have already done so. The central bank also announced an increase in the quantum of funds Indian firms can raise through external commercial borrowings. International trade settlement in Indian rupees, too, is permitted now with five trading partners, a move market analysts see as the beginning of the internationalisation of the INR.

Meanwhile, the trade deficit for Q1FY23 touched $70.8 billion (Rs 5.6 lakh crore) compared to $31.4 billion (Rs 2.5 lakh crore) in Q1FY22. It is expected to only rise further, with some suggesting it could touch a record $250 billion (Rs 20 lakh crore) this fiscal, or 7.3 per cent of GDP. This could imply a Current Account Deficit (CAD) of up to 3 per cent of GDP. A widening CAD and persistent FPI outflows could plunge the rupee further. Says Garg: "This year, as things stand, we might end up with very small positive flows; we might even dip to the nega-